

Retail Investment in Private Markets: Recent Developments

A Webinar Sponsored by
Private Capital Project at Harvard Business School
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In recent years, significant advances have been made in broadening access to alternative investments for qualified retail investors. Semi-liquid investment vehicles—such as interval funds and non-traded structures—have played a central role in enabling individual investors to access asset classes historically reserved for institutional investors. In this webinar, held on February 26, 2026, panelists shared their perspectives on the expansion of retail access to private markets, the structural, regulatory, and behavioral factors shaping this development, and the outstanding questions it raises for future research.

Key Highlights

- Clearer regulatory guidance and criteria for 401(k) plan providers will play an important role in advancing adoption.
- Optimal portfolio design for target date funds remains an open question. Determining the appropriate allocation to private assets within 401(k) portfolios is still an active area of research.
- Outside the 401(k) space, retail growth has largely been concentrated in evergreen funds, with about \$500 billion invested as of Q3 2025. At the same time, increased capital inflows and a softer M&A market have contributed to lower direct lending yields.
- Valuation, liquidity, and investor behavior continue to present structural challenges. The appraisal-based valuation of private assets, combined with potential redemption pressures during market stress, complicates the integration of private markets into retail portfolios.
- Investor education and vehicle design will be critical for retail expansion. The liquidity characteristics of private markets require appropriate product structures and informed investors, while ongoing research will shape future vehicle development.

Private Markets in 401(k) Portfolios

The expansion of retail access to private markets is accelerating recent efforts to include alternative assets in retirement plans, such as 401(k)s. A common misconception, however, is that individual retail investors would allocate retirement savings directly to private equity or private credit funds. In practice, access would typically be intermediated through asset-allocation vehicles managed by fiduciaries, such as target date funds. Given that target date funds constitute a large share of 401(k) investments (approximately \$5 trillion), this is where most exposure to private asset classes would likely occur.

There are several important execution questions surrounding the potential expansion of target date funds to include illiquid alternatives. First, how much of a given target date fund's portfolio should be allocated to private assets? The mix of private equity and private credit will likely differ across target date strategies, but for any individual fund the optimal allocation remains an active area of research. For example, if a target date fund currently allocates 60% of capital to public equities and 40% to public credit, a key question is whether that portfolio should shift to something like 60% public equities, 30% public credit, and 10% private markets—or some other mix. Indeed, as more capital is raised in the private markets each year relative to the public markets, there may also be a role for private equity and private credit in a target date fund's traditional equity and credit allocations.

From a regulatory perspective, plan sponsors act as ERISA fiduciaries, and a key concern is the potential litigation risk associated with including private asset classes in investment menus. Following a recent executive order, the Department of Labor and the Securities and Exchange Commission have been re-examining regulations in this area and have signaled their support for clarifying criteria for plan sponsors selecting private market options for portfolios. Such guidance could provide reassurance to sponsors that would like to offer private markets exposure but remain hesitant due to the risk of litigation, and it could pave the way for further product development. Even if regulatory clarity improves and litigation risk is reduced, however, adoption is likely to take time and require extensive education for market

participants.¹

Recent Trends in Private Markets

Outside the 401(k) space, retail growth in private markets to date has been largely concentrated in evergreen funds, which reflect business development companies, interval and tender offer funds, and non-traded real estate investment trusts, with approximately \$500 billion in total investments as of Q3 2025.

The combination of an influx of retail capital and a softened M&A market has put pressure on private credit direct lenders to deploy capital. These conditions have lowered yields from roughly 10.5–11% to about 8–9%, in turn pushing lenders to be more conservative in their underwriting.

One panelist noted that the share of businesses with direct lending agreements utilizing payment-in-kind (PIK) is now over 10%, and more than half of those businesses did not have PIK provisions when their deals originally closed. Although this trend is not pervasive, it raises questions about the performance and resilience of direct lending.

Retailization is not just about making products available; it is also about enabling informed decision-making.

Valuation remains challenging, with one panelist emphasizing that high-frequency valuation is highly dependent on models. As a reference point, private equity investments—and the private credit that often finances them—are typically valued with a lag. In mid-February, for example, many private market participants were still working off September 30 marks, as December 31 valuations had potentially not yet been published.² Moving to higher-frequency valuation therefore requires reliance on modeling approaches.

Investor Education

Panelists also emphasized that expanding access must go hand in hand with enhanced investor education. Retail investors vary widely in financial sophistication, liquidity needs, and risk tolerance. Semi-liquid private market funds are generally more appropriate for long-term capital that does not require immediate access. Advisors and distributors therefore play a crucial role in assessing whether such products align with an individual client's objectives.

The conversation also addressed behavioral dynamics. During periods of market stress, retail investors may react more quickly than institutions, especially when influenced by headlines or short-term performance comparisons with public markets. This can increase redemption pressure even when underlying asset performance remains stable.

Education must therefore extend beyond product mechanics to portfolio context. Clear communication about investment horizons, valuation cycles, and expected volatility can help mitigate reactive behavior. The broader implication is that expanding retail access requires not only innovative structures but also

¹ The webinar preceded the most recent regulatory development; see, <https://www.dol.gov/newsroom/releases/ebsa/ebsa20260330>

² PE investments are typically valued quarterly.

disciplined distribution practices and alignment among sponsors, advisors, and end investors.

Retail vs. Institutional Investing in Private Equity

The panelists highlighted several important considerations regarding valuation practices in the development of retail investment vehicles. Valuations of private assets rely on periodic determination of fair value consistent with accounting guidance, fundamental performance metrics, and unobservable inputs, which differ fundamentally from the continuous market pricing of publicly traded securities. Retail investors may compare the net asset values (NAVs) of semi-liquid funds to publicly traded benchmarks and question differences in volatility or the timing of adjustments. Maintaining investor trust will therefore remain critical. The panelists emphasized the need for robust governance frameworks, independent oversight, and consistent valuation methodologies to sustain that trust.

One panelist noted that—due to their intermediated structure—the total fees charged for retail vehicles are typically higher than those charged to institutional investors in the same asset class. As a result, additional attention must be paid to ensure that retail vehicles are not merely delivering private equity “beta,” meaning performance that could be replicated with a liquid market portfolio.

Potential conflicts of interest for sponsors serving both retail and institutional investors is becoming a growing concern, according to one panelist. Sponsors may have financial incentives to allocate better deals—or a greater share of deals—to vehicles that generate higher fees and are therefore more lucrative for the asset manager, namely retail vehicles.

Conversely, there are concerns that retail investors could be apportioned with “leftover” assets that were not suitable for institutional investors, particularly since retail investors typically have fewer resources for evaluating asset quality. In either case, sponsor transparency will play a critical role in ensuring that both client bases receive an appropriate allocation of assets.

Final Thoughts

The webinar detailed considerations at the forefront of the market as alternatives continue to grow in the retail space. Retail access to private markets, particularly through 401(k) investment, could facilitate a significant influx of capital to alternative assets and reshape the industry and transparency and education stood out as key themes throughout the discussion. It is clear that a lot of work remains to be done in this space to ensure alignment of incentives between sponsors and end investors, such as investor education, transparency in valuation practices, and legal and regulatory guidelines.